Procurement Workflow

Document ID	OPS-002
Department	Operations and Procurement
Document type	Procedure
Owner	Head of Procurement
Version	4.3
Status	APPROVED
Effective / last reviewed	2025-09-07
Audience	Budget owners, managers and Finance/Procurement staff
Related documents	OPS-001, OPS-003, OPS-004, OPS-009

Summary. Step-by-step procurement workflow at Northstar Systems from need identification and NorthBuy requisition through quotations or RFP, vendor selection, approval, PO issue, goods receipt, three-way match and payment, with timelines, roles, worked examples and exception paths.

SYNTHETIC DOCUMENT - Northstar Systems is a fictional company. This document exists for development, testing and demonstration only and is not real legal, employment, security or compliance advice.

1. Purpose and Scope

This procedure describes the end-to-end workflow for buying goods and services at Northstar Systems Private Limited ("Northstar"): from the moment a need is identified to the moment the vendor is paid and the record is closed. It tells requesters, budget owners, managers, Procurement and Finance staff what to do at each step, in what system, and how long each step should take. The approval limits themselves are in the Purchase Approval Policy (OPS-001); how to choose among suppliers is in the Vendor Selection and Evaluation Procedure (OPS-003); vendor master onboarding is in OPS-004; invoice and payment detail is in OPS-009.

The workflow runs in NorthBuy (requisitions, vendor master, POs, contracts repository). NorthDesk is used for exception tickets, and NorthPay for corporate card and expense items outside the PO route. All legal and tax references are illustrative and must be verified by Legal before external use.

2. Definitions

- **Requisition:** the request raised in NorthBuy for goods or services.
- **RFQ:** request for quotation, used for mid-value purchases where written quotations are needed.
- **RFP:** request for proposal, a formal tender run through NorthBuy for large purchases.
- **Procurement Committee:** the panel that reviews RFP outcomes, made up of the Head of Procurement, the Finance Controller, a Legal representative and the business sponsor's department head.
- **PO:** purchase order, the commitment to a vendor.
- **GRN:** goods receipt note, or service acceptance record, created in NorthBuy to confirm delivery.
- **Three-way match:** matching PO, GRN and invoice before payment.
- **Business day:** a working day of Northstar's calendar excluding company holidays.

3. Roles

Role	What they do in the workflow
Requester	Raises the requisition, supplies the specification and quotes, accepts delivery
Budget owner	Confirms budget and cost centre
Approver	Approves per the DoA table in OPS-001
Procurement buyer	Runs RFQ or RFP, negotiates, issues the PO
Head of Procurement	Owns this procedure and escalations
Finance (Accounts Payable)	Three-way match and payment runs
Legal	Reviews contracts above INR 5,00,000, multi-year terms and non-standard terms
Security (GRC)	Assesses vendors that access Confidential or Restricted data (see SEC-011)

4. Workflow Overview

The standard flow has ten steps.

1 Identify and define the need.
2 Check budget and existing contracts.
3 Raise the requisition in NorthBuy.
4 Source quotes or run an RFP.
5 Select the vendor.
6 Confirm vendor onboarding and security checks.
7 Obtain approvals.
8 Issue the PO.
9 Receive goods or accept the service.
10 Match, pay and close.

The sections below explain each step.

5. Step 1 and 2: Define the Need and Check Budget

The requester writes a short specification covering what is needed, quantity, delivery date, quality or service levels, integration needs and any data the supplier will access. The requester then checks:

- Is there budget in the cost centre (for example CC-OPS-007)? The budget owner confirms.
- Is there already a contract in the NorthBuy contracts repository that covers this need? Existing contracts must be used first; buying outside an existing contract needs Procurement approval.
- Is a similar asset already available inside Northstar? For hardware, the IT Asset Manager can confirm.

Unbudgeted spend above INR 1,00,000 needs the CFO's approval in addition to the normal approver (see OPS-001), so the requester should raise this early.

6. Step 3: Raise the Requisition

The requester raises a requisition in NorthBuy with: description, quantity, estimated value (including taxes), cost centre, preferred vendor if any, required-by date, justification and

attachments such as specification and quotes. The requisition must show the total value for the contract year, not only the first invoice. Requisitions that omit the cost centre, value or justification are returned within 1 business day.

Splitting a requirement into several smaller requisitions to avoid a threshold is prohibited. Procurement flags related requisitions raised by the same person or cost centre in the same 30 days.

7. Step 4: Sourcing

The sourcing route depends on the value.

Value (INR)	Route	Typical lead time
up to 25,000	One quotation, buyer checks price	1 to 2 business days
25,001 to 3,00,000	RFQ with minimum three written quotations	5 to 10 business days
above 3,00,000	Formal RFP in NorthBuy, Procurement Committee review	4 to 8 weeks
above 25,00,000	RFP, Procurement Committee review and CFO sign-off	6 to 10 weeks

7.1 Running an RFQ

1 The buyer sends the specification to at least three suitable vendors through NorthBuy or email, setting a response deadline, normally 5 business days.
2 Vendors send written quotes with price, taxes, delivery, warranty, payment terms and validity of at least 30 days.
3 The buyer prepares a comparison sheet. Evaluation criteria and scoring follow OPS-003.
4 The requester and buyer agree the recommended vendor and record the reasons.

If fewer than three vendors respond, the buyer records the vendors invited and why quotes are missing, and the department head approves the exception.

7.2 Running an RFP

1 The buyer and requester prepare the RFP document: requirements, evaluation criteria and weights, commercial template, security requirements, timeline and contract terms.
2 The RFP is published to shortlisted vendors through NorthBuy. Questions are answered to all bidders. The response period is normally 2 to 3 weeks.
3 Bids are opened on the stated date by the buyer and a Finance representative. Bids are scored independently by at least three evaluators, who must declare any conflict of interest.
4 The Procurement Committee reviews the scored results, may request clarifications or negotiation and approves the recommended vendor. For purchases above INR 25,00,000 the CFO also signs off.
5 Unsuccessful bidders are told the outcome within 5 business days of the decision.

7.3 Sole-source

Where only one supplier can meet the need, the requester writes a sole-source justification, which must be approved one level above the approver who would normally sign the purchase (see OPS-001). Procurement still negotiates price and terms.

8. Step 5 and 6: Vendor Selection, Onboarding and Security Checks

Once the vendor is selected, Procurement checks that the vendor exists in the NorthBuy vendor master. A vendor must be onboarded in the vendor master before a PO is issued. Procurement completes onboarding within 5 business days of receiving a complete document set. The documents needed are PAN, GSTIN, cancelled cheque or bank proof, a signed NDA and a conflict-of-interest declaration. If the vendor will access Confidential or Restricted data, a security questionnaire is also needed and GRC must complete the assessment within 10 business days of a complete questionnaire (see SEC-011). If personal data will be shared, a Data Processing Agreement must be signed first.

Example: A Customer Success lead wants a new survey tool for INR 2,40,000 per year. Three quotes are collected, the selected vendor is not yet in NorthBuy, and it will hold customer contact data. Procurement starts onboarding and sends the security questionnaire in parallel. The vendor submits all documents on day 2, onboarding finishes on day 6 and the security assessment on day 9. The PO can be issued on day 10.

9. Step 7: Approvals

Approvals are given in NorthBuy according to the DoA table in OPS-001.

Amount (INR, per transaction/PO/contract year)	Approver
up to 10,000	Reporting manager (Band B4+)
10,001 to 50,000	Department head
50,001 to 2,00,000	Director (Band B6) and Finance Controller
2,00,001 to 10,00,000	CFO
above 10,00,000	CFO and CEO jointly

Approvers have 2 business days to approve or reject a request; if no action is taken the request is reminded and then escalated to the approver's manager on the third business day. The approver cannot approve their own request. Where Legal review is needed (contracts above INR 5,00,000, any multi-year term or non-standard terms), Legal must complete it before final approval, normally within 5 business days. Auto-renewal clauses need General Counsel approval.

10. Step 8: Issue the Purchase Order

After approval, the buyer issues the PO in NorthBuy and sends it to the vendor. The PO states vendor, items, price, taxes, delivery date, payment terms (Net 45 days from invoice receipt; Net 30 for MSME-registered vendors, illustrative), cost centre and approval trail. The PO number must be quoted on every delivery note and invoice.

An advance of up to 30% of PO value may be paid for onboarded vendors only, with CFO approval. The vendor must acknowledge the PO within 2 business days. Work or delivery must not start before the PO exists. Any change to the quantity, price or dates must be raised as a PO variation, which follows the approval limit of the new total value.

11. Step 9: Delivery and Acceptance

When goods arrive or a service milestone is completed, the requester (or the named receiver) checks them against the PO and creates the GRN or service acceptance in NorthBuy within 3 business days. For goods, check quantity, specification and condition. For services, check the

milestone against the statement of work.

- If the delivery is accepted, the GRN is posted.
- If partially accepted, the GRN shows the accepted quantity and the shortfall is raised with the vendor.
- If rejected, the requester notifies Procurement and the vendor within 2 business days, with evidence, so a replacement or credit note can be requested.

Hardware must be tagged by the IT Asset Manager with an asset tag in the form NS-AST- followed by six digits before it is handed to the user (see OPS-007).

12. Step 10: Match, Pay and Close

Finance performs a three-way match of PO, GRN and invoice, with a tolerance of 2% or INR 500, whichever is lower. Matched invoices are scheduled in the next payment run. Payment runs happen every Tuesday and Friday. An invoice with no PO is not paid, except pre-approved utilities and statutory payments. Differences outside tolerance are returned to Procurement to resolve with the vendor. Payment details are in OPS-009.

After the final payment, Procurement closes the PO. The buyer records a vendor performance rating that feeds the review under OPS-003.

13. Timelines Summary

Activity	Target
Return of incomplete requisition	1 business day
Approver decision	2 business days
Vendor onboarding after complete documents	5 business days
Security assessment after complete questionnaire	10 business days
Vendor PO acknowledgement	2 business days
GRN or service acceptance after delivery	3 business days
Payment terms	Net 45 days from invoice receipt (Net 30 for MSME-registered vendors)
Unsuccessful bidder notification	5 business days

14. Urgent Purchases and Exceptions

Urgent purchases still need a PO. In a genuine emergency, such as hardware for a production outage, the approver may approve verbally or by message and the requester must record it in NorthBuy within 1 business day. A single quotation may be used with the department head's written approval. Emergency purchases above INR 2,00,000 need CFO approval first. See OPS-001 for the full rules.

A retrospective PO, created after commitment, is a policy breach. It needs written approval from the Finance Controller and the DoA approver, and Procurement reports these monthly to the CFO.

Other exceptions, such as buying outside an existing contract or accepting fewer than three quotes, are raised as a NorthDesk ticket to the Head of Procurement and approved as set out in

OPS-001.

14.1 Common mistakes that delay a purchase

- Raising the requisition with only the first-year cost, so approval is requested at the wrong level and has to be redone.
- Sending the vendor an email "go-ahead" before the PO exists. The vendor then invoices without a PO number and the invoice is rejected.
- Attaching quotations that do not cover the same scope, so Procurement cannot compare them and asks for new ones.
- Forgetting to ask early whether the vendor will touch Confidential or Restricted data, which adds the security assessment of up to 10 business days after the vendor returns a complete questionnaire.
- Not recording the GRN, which holds up the three-way match even though the goods were delivered.

Requesters who are unsure which route applies should contact the Procurement Desk at procurement@northstar-systems.example before raising the requisition. The Procurement Desk replies within 1 business day.

15. Worked Examples

Example 1: low value. A team needs a INR 9,000 set of ergonomic chairs for a meeting room. One quotation is enough. The reporting manager approves in NorthBuy, the buyer issues the PO the same day, the GRN is posted on delivery and Finance pays in the next Tuesday or Friday run after the match.

Example 2: mid value. The Engineering team needs INR 1,60,000 of load-testing services. Three written quotes are gathered through RFQ, the buyer scores them under OPS-003, and the Director (B6) and Finance Controller approve. The vendor is already onboarded, so the PO is issued within 8 business days of the requisition.

Example 3: high value. The company wants a new learning management add-on costing INR 12,00,000 per year. This needs a formal RFP, Procurement Committee review, Legal review for the multi-year term, and approval from the CFO and CEO jointly because the value is above INR 10,00,000. The process takes about 8 weeks.

Example 4: invoice without PO. A vendor sends an invoice of INR 45,000 for work a manager ordered by email. There is no PO, so Accounts Payable rejects the invoice. The manager must raise a retrospective PO with the Finance Controller's written approval, and the breach is recorded.

16. Frequently Asked Questions

How long does it take to get a purchase done? Under INR 25,000 typically 1 to 2 business days of sourcing; three-quote purchases 5 to 10 business days; RFPs several weeks.

Who can raise a requisition? Any employee may raise one, but approval needs a manager at Band B4 or above.

Can Procurement choose the cheapest vendor automatically? Not always; evaluation also considers quality, delivery, security and risk, as set out in OPS-003.

When are vendors paid? After a successful three-way match, in the Tuesday or Friday payment run, within the agreed Net 45 (or Net 30 for MSME) terms.

17. Related Documents

See OPS-001 for approval limits, OPS-003 for vendor selection and evaluation, OPS-004 for vendor onboarding, and OPS-009 for invoice processing and payment. Security assessments are described in SEC-011.

18. Revision History

Version	Date	Change
4.1	2024-08-12	Added RFP bid-opening rules
4.2	2025-02-05	Added timeline summary table
4.3	2025-09-07	Aligned with OPS-001 v2.3